

give you a bumpy ride, with a lot of volatility. If history gives any indication of the future, this should reward you with handsome returns. Once you reach a point in life where you may need to live off your portfolio, Collins suggests adding a total bond market index fund. This will decrease volatility and smooth out the ride. You can choose if, when, and what amount of bonds to add to your portfolio to match your investments to your life stage, financial needs, and temperament.

People will argue whether you should have more diversification in your portfolio. These alternative portfolios start on the simpler end of the spectrum with “Lazy Portfolios” designed by the Bogleheads, fans and followers of John Bogle’s index investing philosophy. An example is their popular Three-Fund Portfolio which adds a bit more diversity to a portfolio by including a total international stock index fund alongside domestic stock and bond funds. On the more complex end of the spectrum is investment educator Paul Merriman’s “Ultimate Buy and Hold Portfolio,” consisting of ten stock funds plus bonds. These portfolios add alternative asset classes, including international funds, real estate investment trusts (REITs), or tilt a portfolio to give more influence to smaller companies or companies that are perceived as undervalued.